

2017 Exit

Exam

Tir 26 Monday

Session 3, 8:30-11:00

1) All of the followings are true about Property, plant, and equipment features, except:

- a. Possess physical substance
- b. Primarily held for resale
- c. Used in operation and not for resale
- d. Long-term so nature and usually depreciated

B

2) When using the periodic inventory system, when the cost of merchandise is sold recorded

- A. at the time of sale
- B. Never recorded
- C. only during physical inventory
- D. at the end of the accounting period

D

3) The following sales are budgeted for the next four months

- | | April | May | June | July |
|----------------------------|--------------|------------|-------------|-------------|
| Budgeted sales unit | 480 | 560 | 600 | 100 |
- **Each month ending inventory of finished goods should be 30% of the next month's sales, Create the budgeted production for May.**

A. 560 unit

budgeted unit sales + targeted ending finished goods inventory - beginning finished goods inventory

B. 600 unit

$$560 + (600 \times 0.3) - (560 \times 0.3) = 172$$

C. 572 unit

C

D. 548 unit

4) Product A has a unit contribution margin of Birr 15. Product B has a unit contribution margin of Birr 20. Product A requires three furnace hours, while product B required five furnace hours. Determine which product should be produced, assuming the furnace is a constraint

- A. Product B unit contribution margin per production scarce hour is Birr 5
- B. Product A Unit contribution margin per production scarce hour is Birr 5
- C. Product A unit contributions margin per production scarce hour is Bier 4
- D. Product B contribution margin per production scarce hour is Birr 4

Product A = $15/3H$ 5 Birr/H

Product B = $20/5H$ 4 Birr/H

B

5) The units of an item available for sale during the year were as follows:

- Jan. 1 Inventory 6 units at \$50 \$ 300
- Mar. 20 Purchase 14 units at \$55 \$770
- Oct. 30 Purchase 20 units at \$62 \$1,240
- **Available for sale 40 units \$2,310**
- Assume that 26 unit sold until December 31 for \$82. The periodic inventory system is used. Determine the gross profit using the Average cost method

$$AC = 2310 / 40 = 57.75$$

- A. \$1501.5

$$CGS = 57.75 * 26 = 1501.5$$

- B. \$750.75

$$EI = 57.75 * 16 = 444$$

- C. 630.5

$$GP = SALE - CGS$$

- D. 808.5

$$\begin{aligned} & (82 * 26) - 1501.5 \\ & = 630.5 \end{aligned}$$

C

6) Which of the following is true regarding variable costing method? It

- A. Treats all cost of production as product costs.
- B. Allocates a portion of fixed overhead to each unit product.
- C. Contains no element of fixed overhead cost in inventory.
- D. is generally used for external financial reports.

C

7) Which of the Following is an intangible asset that attaches to a business because of factor like location, product superiority , and reputation

A. Patent

B. Copy right

C. Trademark

D. Good will

D

8) The condition in which taxpayers deliberately misrepresenting or concealing the true state of their affairs to the tax authorities to reduce their tax liability it referred to as

A. Regressive tax

B. Tax avoidance

C

C. Tax evasion

D. Direct tax

9) Which at the following describes long term contract losses accounting treatment?

- A. Loss in the current period, the estimated cost increase requires a current-period adjustment of excess gross profit recognized on the project in prior period
- B. Loss on unprofitable contract, the estimated cost increase requires a current-period adjustment of excess gross profit recognized on the project in future periods.
- C. Loss on unprofitable contract, the estimated cost increase requires a current period adjustment of excess gross profit recognized on the project in prior periods
- D. Loss in the current period, the company must recognize in the current period the entire expected contract loss

When a long-term contract is projected to result in a loss, the total expected loss is recognized immediately in the current period, regardless of the stage of completion.

This is a fundamental principle of accounting conservatism – recognizing losses as soon as they are foreseeable.

D

10) Which one of the following statements is the core principle of M&M Proposition I, without taxes?

A. The capital structure of a firm is totally irrelevant.

A

B. The optimal capital structure is 100% debt.

C. The interest tax shield increases the value of a firm

D. Levered firms have greater value than unlevered firms

11) From the following cases which one is different?

- A. Compensation in cash or in kind to policyholders for losses suffered in advance of, or during travel
- B. Contracts that provide compensation for the uncertain future event
- C. Credit related guarantees that require payments even if the holder has not incurred a loss

C

- D. Payment based by changes in climatic, geological and other physical variables that are specific to a party to the contract

12) Which of the following best describes the joint venture?

- A. Joint arrangement whereby the parties share all liabilities and obligations in a specified proportion.
- B. Joint arrangement that requires the joint control of the arrangement has rights to the assets, and obligations for the liabilities, relating the arrangement
- C. Joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the arrangement
- D. Joint arrangement whereby the parties to the joint arrangement share all interest in the assets relating to the arrangement

13) A corporation has issued 25,000 shares of \$100 par common stock and holds 3,000 of these shares as treasury stock if the corporation declares a \$2 per share cash dividend, what amount will be recorded as-cash dividends?

$$22000 * 2 = 44,000$$

A. \$25,000

B. \$22,000

C

C. \$44,000

D. \$50000

14) Which one of the following statements is true about static budget?

- A. Inappropriate in evaluating a manager's effectiveness in controlling costs.
- B. A projection of budget data at several levels of activity
- C -It is based on actual activity for a period of time
- D. A projection of budget data at a single level of activity

D

15) When preparing consolidated financial statements on the date of acquisition, what adjustment is made to the subsidiary's equity accounts?

- A. All equity accounts are eliminated.
- B. Equity accounts are adjusted to fair value, and any excess is recorded as goodwill.

A

- C. No adjustment is necessary.
- D. Only the retained earnings account is eliminated

16) If an investment has a positive net present value

- A. cost of capital exceeds the cutoff rate of return
- B. its IRR is less than the company's cutoff rate of return
- C. its internal rate of return is greater than the company's cost of capital
- D. its internal rate of return less than the company cost of capital

C

17) Which of the following statement demonstrates the Balance-Related Audit Objectives of existence for account payable balance?

- A. Accounts payable in the accounts payable list are accurate
- B. Accounts payable in the accounts payable list agree with related master file, and the total is correctly added and agrees with the general ledger
- C. Existing accounts payable are included in the accounts payable list
- D. Accounts payable in the accounts payable list exist

D

18) In a computerized accounting system, what is the purpose of backup?

A. To prevent unauthorized access to financial data

B. To reduce the risk of data loss

B

C. To automate the reconciliation process

D. To generate financial reports

**19) Which of the following statement is true about product costs?
Costs are**

- A. Reported on the income statement as either selling or administrative expenses
- B. Linked to a time period rather than to completed products.
- C. Added to inventory during production
- D. Expressed in the period when incurred

C

20) XYZ inc purchased land and building from JK Corporation for a cash payment of Br 600,000. The estimated fair values of the assets are land birr 235,200 and building Br. 324,800. At what amounts should each of the assets be recorded, respectively ?

- A. Br. 252.000, Br. 348.000

$$L = (235200 / 560,000) * 600,000 = 252,000$$

$$B = (324,800 / 560,00) * 600,000 = 348,000$$

- B. Br 235.200, Br 324,800

A

- C. Br. 211200 Br. 268.800

- D. Br 60.000, Br. 600,000

21) The Cutting department started the month with a beginning work in process inventory of Birr 10,000. During the month, it was assigned the following costs

- | • Direct material | Direct labor | Overhead applied |
|---|---------------------|-------------------------|
| • Birr 120,000 | Birr 35,000, | Birr 15,000 |
| • Inventory with a cost of Birr 158,000 was transferred to the next department. The ending balance of Work in Process Inventory-Cutting is | | |

- A. Birr 180.000

$$\text{EWIP} = \text{TWIP} - \text{Cost good transferred}$$

- B. Birr 12.000

D

$$\text{TWIP} = \text{BWIP} + \text{DMU} + \text{DML} + \text{MOH} = 10000 + 120000 + 3500 + 15000 = 170,000$$

$$\text{EWIP} = 180,000 - 158,000 = 22,000$$

- C. Bir 170.000

=

- D. Birr 22,000

22) Which one of the following is an example of unsystematic risk?

- a. inflation decreases at the national level
- b. income taxes are increased across the board
- c. consumer spending on entertainment decreased nationally
- d. a national sales tax is adopted,

C

23) Which of the following describes to a set of instructions to the audit team that sets out the further audit procedures to be carried out

- A. Audit Plan
- B. Audit documentation
- C. Audit working paper
- D. Over all audit strategy

A

24) Which one of the following fund type is classified under Proprietary Fund?

- A. Debt service fund
- B. Internal service fund
- C. Capital project fund
- D. General fund.

B

25) Which of the following is/are not among the economic significance of public finance?

- a. Economic Stabilization
- b. Capital Formation
- c. Balanced Regional Development
- d. Increase Economic Inequalities

D

26) Which of the following is the example of Onerous Contract Provisions?

- a. A lawsuit in which it is only possible that the company might lose.
- b. A guarantee related to collectability of a receivable.
- c. Dismantling, restoring, and reclamation of oil and gas properties
- d. A loss recognized on unfavorable non-cancelable purchase commitments related to inventory items.

D

27) Which of the following statements is true regarding the perpetual inventory system?

A

- A. It updates inventory records continuously after each sale.
- B. It requires physical inventory counts to determine the cost of goods sold (COGS).
- C. It is only suitable for businesses with low-value, high-volume Inventory items.
- D. It does not provide real-time information on inventory levels

28) Incremental analysis is the process of identifying the financial data that

- a. Do not change under alternative courses of action.
- b. Change under alternative courses of action.
- c. Are past oriented and focus on non-incremental effects.
- d. Are mixed under alternative courses of action.

B

29) Fikiru Ltd. issues Br. 800,000 of 10% bonds, due in 10 years, with interest payable semi annually. At the time of issue, the market rate for such bonds is 12%. What is the amount of discount amortization in the first interest payment schedule using effective interest method?

• a. Br. 40,000

• b. Br. 20,000

• c. Br. 2,494.44

• d. Br. 12,494.44

$$= 708,240.62 \text{ BP} = 40,000 \left[\frac{1 - \frac{1}{(1+0.06)^{20}}}{0.06} \right] + \frac{800,000}{(1+0.06)^{20}}$$

Year	Cash paid	Effective interest rate	Amortization	Ending carrying value
0				708,240.62
June 30	40,000	42494.43	2494.44	750,7350.5

Cash Paid = $800,000 * 0.1 * 6/12 = 40,000$

Effective interest rate = $708240.62 * 0.12 * 6/12 = 42494.43$

C

30) When a company operates in multiple countries and conducts transactions in different currencies, which of the following risks is most relevant on s financial reporting?

- A. Credit risk
- B. Exchange rate risk
- C. Market risk
- D. Liquidity risk

B

31) Which of the following correctly explains treatment of the increase in account receivable on statement of cash flow

- A. Deducted from net income to reach net cash flow from financing
- B. Deducted from net income to reach net cash flow from operating
- C. Added to net income to reach net cash flow from operating
- D. Added to net income, to reach net cash flow from financing

B

32) Assume you deposit \$1,000 in your bank account. If the bank pays 4 percent simple interest, how much will you accumulate in your account after 10 years?

$$MV = P + I = 1000 + 400 = 1400$$

- A. 1040

$$I = 1000 * 0.04 * 10 = 400$$

- B. 1000

- C. 1480

D

- D. 1400

33) Which of the following explains the journal entry used to record proportionate share in cash of a joint venture on venturers book?

- A. Cash debited and investment in joint venture credited.
- B. Investment income debited and investment in joint venture credited.
- C. Investment in joint venture debited and cash credited.
- D. Investment in joint venture debited and investment income credited.

A

34) Ato Gemechu the owner of ABC Company asks you to explain how he should treat the following reconciling items when reconciling ABC Company bank account; a NSF check, and a deposit in transit.

In which of the following correct way you will advise him to have correct bank reconciliation ?

- A. Deduct NSF check from balance per books and add deposit in transit to balance per bank
- B. Deduct NSF check from balance per books and deduct deposit in transit to balance per bank
- C. Add NSF check and deposit in transit to balance per bank.
- D. Deduct both from balance per books,

A

35) In Audit Sampling for Test of Control and Substantive Test of Transaction which of the following is performed in evaluate the Results step ?

- a. State the objective of the audit test
- b. Generalize from the Sample to the population
- c. Estimate the population exception rate
- d. Perform the Audit procedures

B

36) Temporary difference on accounting for income tax means:

- A. The difference between the cash basis of an asset or liability and its reported amount in the financial statements
- B. The difference between the tax basis of an asset or liability and its reported amount in the financial statements
- C. The difference between the IFRS record on financial statement and internal book keeping for management accounting,
- D. The difference between the book basis of an asset or liability and its reported amount in the financial statements

B

37) Which one of the following is a method of allocating overhead based on each products use of activities in making the product

- a. Just in time inventory
- b. Activity-based costing
- c. Total quality management
- d. Balanced scorecard

B

38) Which one of the following not describes cash?

- A. Current asset
- B. Standard medium of exchange
- C. Basis for measuring and accounting for all items
- D. Most illiquid asset

D

39) The development security market in Ethiopia can be challenged by

- a. The existence of many profitable companies
- b. The underdeveloped state of the bond (debt) market
- c. Considerable unexploited fertile land
- d. Nationalize efforts of private enterprise

B

40) When to say a given asset is incurred impairment loss as per IAS 36 ?

- A. When fair value less costs to sell or value in use equals to carrying amount

B

- B. When carrying amount is greater than recoverable amount
- C. When fair value less cost to sell or value in use is more than carrying amount
- D. when recoverable amount is more than carrying amount

41) Journal entries based on the bank reconciliation are required for:

- a. Deductions from the cash balance according to the bank's balance.
- b. Additions and deduction to the cash balance according to the bank's records.
- c. Additions to the cash balance according to the bank's balance.
- D. Additions to the cash balance according to the company's balance.

D

42) Which of the following definition is applied for audit sampling risk?

a. Audit sampling risk is the risk that an auditor reaches an incorrect conclusion because the sample is not representative of the pers

b. Audit sampling risk is the risk that audit tests do not uncover exiting exceptions in the sample

c. Audit sampling risk is a testing less than 100 percent of a population for the purpose of making inferences about that population

A

d. Audit sampling risk is the exception rate that the auditor will permit in the population and still be willing to conclude the control is operation effectivity

- **43) A form of business organization that have a separate legal existence, transferable units of ownership, and limited liability**

- a. Partnership

C

- b. Joint venture

- c. Corporation

- d. Cooperation

44) Which of the following demonstrates the entry when direct labor is assigned to jobs? A debit

- a. Manufacturing Overhead and a credit to direct Labor.
- b. Direct Labor and a credit to Work in Process Inventory
- c. Direct Labor and a credit to Manufacturing Overhead.
- d. Work in Process Inventory and a credit to direct Labor.

D

45) ABC Ltd. purchased equipment for Birr 800,000 by issuing a promissory note. Which accounts are affected by

- a. Equipment increases, Notes Payable increases
- b. Equipment decreases! Notes Receivable decreases
- c. Equipment decreases Cash decreases
- d. Equipment-increases: Cash increases

A

46) An extraordinary item differ from special item in that an extraordinary item is.

- A. Use in nature and frequent in occurrence.
- B. Reported on a separate line below General Revenues.
- C. Unusual in nature and infrequent in occurrence.
- D. Within management's control.

C

47) Which of the following statement interprets the difference between sales agency and branches?

- A. Branch office display merchandise and take customers' orders, but they do not stock merchandise to fill customers than sales agency

B. Branch office usually has more autonomy and provides a greater range of services than a sales agency..

- C. The only accounting records required for branch offices are used to record cash receipts and disbursements unlike sales agency

- D. Sales agency Usually has more autonomy and provides a greater range of services than a branch office

B

48) How does the financial system facilitate economic growth ?

- A. by managing consumer spending habits
- B. by providing affordable housing options
- C. by efficiently allocating resources for investment,
- D. by controlling economy

C

49) Which of the following statement demonstrates the reason for government regulation on finance sector?

- A. Government regulation ensures profitability of the company by protecting from healthy competition the sector
- B. Government regulation ensures soundness of financial intermediaries of the company by protecting from healthy competition in the sector
- C. Government regulation improves monetary control of the company by minimizing information to investors
- D. Government regulation decreases adverse selection and moral hazard problems by increasing information to investors

D

50) Which of the following statements lends support to dividend irrelevance rather than to dividend relevance theory?

- a. Investors prefer the certainty of dividends to the uncertainty of capital gains
- b. Dividends are believed by many investors to signal information about the company
- c. Certain companies may build up a clientele of shareholders due to their dividend policy
- d. Shareholders can manufacture their own dividends by selling some of their shares

D

51) Which of the following adjustments is made to the acquired company's statement of financial position when preparing consolidated on the date of acquisition?.

- A. Recognition of goodwill amortization
- B. Recognition of contingent assets
- C. Recognition et contingent liabilities
- d. Elimination of intra-group transactions

D

52) Which of the following is not a method of business combination?

- A. Joint venture
- B. Merger
- C. Consolidation.
- D. acquisition

A